18. Who has given scarcity definition of economics?

a. Adam Smith

b. Marshall

c. Robbins

d. Robertson

19. The process of reasoning from particular to general is

a. Deductive method

b. Inductive method

c. Positive economics

d. Normative economics

20. Total revenue is equal to total output sold multiplied by

a. Price

b. Total cost

c. Marginal revenue

d. Marginal cost

Answers Part-A

1	2	3	4	5	6	7	8	9	10
c	c	c	c	d	c	b	a	b	d
11	12	13	14	15	16	17	18	19	20
b	d	d	a	a	a	d	c	b	a

Part-B Answer the following questions in one or two sentences.

21. What is meant by Economics?

22. Define microeconomics.

23. What are goods?

24. Distinguish goods from services.

25. Name any two types of utility.

26. Define positive economics.

27. Give the meaning of deductive method.

Part-C Answer the following questions in one paragraph.

28. Explain the scarcity definition of Economics and assess it.

29. What are the crucial decisions involved in 'what to produce?'

30. Explain different types of economic activities.

31. What are the different features of services?

32. What are the important features of utility?

33. Distinguish between microeconomics and macroeconomics.

34. Compare positive economics and normative economics.

Chapter-01.indd 23 20-02-2020 11:43:49